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Provision of December 12, 2024

Register of provisions

n. 765 of December 12, 2024

THE GUARANTOR FOR THE PROTECTION OF PERSONAL DATA

IN THE meeting held today, attended by

Prof. Pasquale Stanzione, President, Prof.

Ginevra Cerrina Feroni, Vice President, Dr.

Agostino Ghiglia and Attorney Guido Scorza, members, and

Dr. Claudio Filippi, Deputy Secretary General;

HAVING REGARD TO Regulation (EU) 2016/679 of the European Parliament

and of the Council of April 27, 2016, concerning

the protection of natural persons with regard to

the processing of personal data, as well as the free

movement of such data and repealing Directive

95/46/EC, "General Data Protection Regulation" (hereinafter, "Regulation");

HAVING REGARD TO Legislative Decree No. 196 of June 30, 2003, containing

"Code regarding the protection of personal data,

providing provisions for the adaptation

of the national legal system to Regulation (EU)

2016/679 of the European Parliament and of the Council, of

April 27, 2016, concerning the protection of

natural persons with regard to the processing of personal data,

as well as the free movement of such data and repealing Directive 95/46/EC (hereinafter

"Code");

HAVING REGARD TO Regulation No. 1/2019 concerning

internal procedures with external relevance,

aimed at carrying out the tasks and

exercising the powers entrusted to the Guarantor for the

protection of personal data, approved by

resolution No. 98 of April 4, 2019, published in

G.U. No. 106 of May 8, 2019 and on www.gpdp.it, doc.

web n. 9107633 (hereinafter "Guarantor Regulation

No. 1/2019");

HAVING REGARD TO the documentation on file;

HAVING REGARD TO the observations made by the Secretary

General pursuant to Article 15 of the Guarantor

Regulation No. 1/2000 on the organization and

functioning of the office of the Guarantor for the

protection of personal data, doc. web n. 1098801;

REPORTING Dr. Agostino Ghiglia;

PREAMBLE

1. Introduction.

With a complaint submitted, pursuant to Article 77 of

the Regulation, on June 14, 2023, Mr. XX, through

his legal representative, complained of an

alleged violation of the rules on the protection of

personal data by the Customs and Monopolies Agency

with reference to the processing of his personal data in the context of

the administrative procedure initiated following

the request submitted as the legal

representative of the company XX for the

evaluation of the existence of the requirements for

the issuance of the renewal of the concession for the sale of monopoly goods of the special resale XX located in XX pursuant to Article 19 of Law No. 1293 of December 22, 1957.

2. The investigative activity

2.1. The complaint

Based on what was represented in the complaint, the Monopolies Office for Piedmont and Aosta Valley of the Customs and Monopolies Agency would have notified, via certified email, to XX a notice of rejection of the aforementioned request, stating that, following specific checks, it had been found that there were “tax debts and/or arrears towards the Collection Agent in an amount exceeding the threshold established by Article 80 paragraph 4 of Legislative Decree No. 50/2016 (Public Contracts Code)” - a provision in force at the time of the facts subject to the complaint that identified the causes for exclusion from the procurement procedures applicable to economic operators - “without any repayment plan already agreed with the Revenue Agency – collection” (cf. act n. XX of XX). In this regard, the complainant also highlighted that “the communication sent via certified email by the AGENCY OF EXCISES, CUSTOMS AND MONOPOLIES HEADQUARTERS IN TURIN passed from hand to hand within XX (as is obvious in large corporate realities) - first the employees of the Secretariat Office, then the members of the Board of Directors.”

In requesting the archiving of the rejection of the renewal request and, consequently, the granting of the same, XX, with a note dated January 3, 2023, pointed out that the debt positions referred to in the rejection communication were not attributable to XX, but to Mr. XX as a private citizen and a separate center of liability in relation to the company of which he was the legal representative and that, consequently, they could not serve as a reason for rejecting the request. According to what was represented by the aforementioned company, the aforementioned Article 80, paragraph 4, of Legislative Decree No. 50 of April 18, 2016, in force at the time of the facts and invoked by the Customs and Monopolies Agency in the rejection, referred, in fact, exclusively to economic operators, i.e., to subjects who “offer on the market the execution of works or services, the supply of products or the provision of services,” and thus to XX and not also to Mr. XX (cf. Article 3, paragraph 1, of Legislative Decree No. 50 of April 18, 2016, also now repealed).

In response to the aforementioned note, the Customs and Monopolies Agency issued a determination to archive the aforementioned rejection act n. XX of XX on the grounds that “the cited arrears do not affect the renewal of the concession” (cf. act n. XX of XX). From the complaint, it also emerges that the Customs and Monopolies Agency, in responding to a request to exercise rights made by the

complainant pursuant to Articles 15-22 of the Regulation, would have clarified, in particular, that the documentation certifying the debts in the name of the

****Claimant was released by the Revenue Agency - Collection, to the Customs and Monopolies Agency in the exercise of the control powers recognized to it in this context by the circular of the same Agency no. 28/2021, in the version in force at the time of the facts.****

Based on the aforementioned circular no. 28/2021, it was specifically provided as follows: "Pending the possible activation of automated procedures for which the involvement of the competent structures is necessary, it is advisable that the Offices request, even on a sample basis, confirmation of the contents of the substitute declarations [made, pursuant to d.P.R. 445/2000, regarding the existence of any tax liabilities whose amount exceeds that provided for by the aforementioned art. 80, paragraph 4, of Legislative Decree April 18, 2016, no. 50, introduced by art. 2, paragraph 4-ter, of the decree of the Ministry of Economy and Finance of February 21, 2013, no. 38] with the precise indication to AdER of the type of feedback expected. The investigation can be completed, in addition to access in the Serpico application, with requests for debts not yet registered or entrusted, to the Offices of the Revenue Agency and INPS competent based on the tax residence of the applicant, as well as to the municipality of residence of the same. The verification regarding the existence of such debt situations must occur both with reference to the company holding the license (whether it is a partnership or a corporation) and with reference to the figure of its legal representative in order to prevent evasive purposes. It goes without saying that for such last subjects, tax liabilities not connected to the work activity carried out cannot be considered."

This circular was adopted by the Customs and Monopolies Agency in implementation of art. 2, paragraph 4-ter of the aforementioned decree of the Ministry of Economy and Finance of February 21, 2013, no. 38, pursuant to which "For the purposes of the assignment, pursuant to articles 19 and following of law December 22, 1957, no. 1293, of the management of the established sales points, the applicant submits a substitute declaration of notoriety drawn up pursuant to the decree of the President of the Republic December 28, 2000, no. 445, relating to the existence of any tax violations and situations of arrears towards the Treasury or towards the Collection Agent of an amount exceeding that provided for by article 80, paragraph 4, of Legislative Decree April 18, 2016, no. 50, definitively established or resulting from judgments no longer appealable."

****2.2. Information provided by the Customs and Monopolies Agency****

In response to a request for information sent by the Authority pursuant to art. 157 of the Code, in a note dated March 13, 2024, the Customs and Monopolies Agency stated, in particular, that:

"the establishment of a concession relationship presupposes [...] a reliability assessment, a judgment that must concern the overall position of the applicant, regardless of filters, even legitimate, represented by companies of which the subject holds the position of partner or administrator. This assessment can only be made considering also elements (which include significant tax liabilities) pertaining to the subject requesting the issuance of a concession, in any capacity and in any role, therefore also in the capacity of legal representative of a legal entity (it must obviously be considered that liabilities not connected in any way to the work activity are excluded);

"the investigation conducted in this case by the competent Monopolies Office - in strict adherence to the provisions of ADM circular no. 28 of July 22, 2021 implementing the ministerial decree of February 21, 2013, no. 38, 'Regulation governing the distribution and sale of tobacco products' as amended by ministerial decree of February 12, 2021, no. 5112 - takes into account the relevance that law December 22, 1957, no. 1293 recognizes to the requirements and subjective conditions of the natural person requesting (for themselves or, as in this case, in the name and on behalf of the interested economic operator of which they are the legal representative) such concession"; in particular, art. 2, paragraph 4-ter, of the aforementioned ministerial decree "(as well as other provisions of the same decree mentioned below [including art. 5, paragraph 4]) explicitly refers to the figure of the applicant, which in the case of a company, is identified in its legal representative";

the provisions of circular no. 28/2023, mentioned above, "always refer to the figure of the applicant

(and, therefore, to the direct interlocutor of ADM) and not generically to the subject interested in the issuance or renewal, which in the case of special sales points can be a natural person or a legal person. The rationale of the provisions dictated by the repeatedly mentioned ministerial decree finds its reason in the nature of the fiduciary relationship that must exist between the public administration and the concessionaire and which, especially in the delicate sectors of application of excise duties - energy, alcohol, or tobacco - requires the tax administration to take into account all elements that, directly or indirectly, allow confirming the overall reliability of the concessionaire”;

“nor has the principle of correctness been violated, as the personal data in question have not been processed in a prejudicial, discriminatory, unexpected, or misleading manner for the interested party but have rather been processed for determined, legitimate, and explicit purposes (investigative checks aimed at processing the renewal application for the sale of monopoly goods and checks on the veracity of the declarations made in this context).”

No wrongdoing or deception has been committed, as the Office has obtained tax data and information from the Revenue Agency - Collection as prescribed by circular no. 28/2021 adopted by this Agency on July 22, 2021, and duly published on the institutional website of the Agency; "the principle of data minimization has also been respected, as only the data essential for the described purposes have been processed, namely the data necessary to verify the existence of 'any tax violations and situations of arrears' attributable to the legal representative that could hinder the renewal of the concession as they are related to the work activity carried out"; "examining the statement regarding the tax liabilities of the appellant [and acquired from the Revenue Agency - Collection as part of the checks carried out], it is evident that its nature is that of a technical document in which, to indicate the creditor Entities of the various debt items, terms are used whose reading does not allow discerning to which type of tax they can be traced (e.g., 'Financial Administration - Regional Directorate of Valle d'Aosta - Territorial Office Aosta' and 'Financial Administration - Regional Directorate of Valle d'Aosta - Control Office'). The Office of Monopolies therefore found itself in the need to acquire further informational elements to verify whether these debt items towards the Treasury could be classified within those for which the sector regulation recognizes the value of an obstacle to the acceptance of the application or whether, instead, they were 'tax liabilities not related to the work activity carried out.' Given the repeated lack of response to requests aimed at obtaining the substitute declaration completed by the legal representative of the company in a personal capacity, the Office of Monopolies correctly proceeded to communicate the notice of rejection of the application, due to the potential obstacle represented by the debt position of the legal representative of the company, which was significantly above the minimum threshold indicated by the regulations"; "the sending of the aforementioned statement was [...] necessary to allow the exercise of the right to participate in the procedure so as to represent to the Office of Monopolies any informational element deemed useful to allow the continuation of the investigative activities and avert the rejection of the application"; "the aforementioned notice of rejection was notified by the competent Office of Monopolies to the certified email address of the company, declared by the same appellant, as the legal representative of the same, at the time of submitting the renewal application. This communication was certainly referable to the application submitted by XX and, therefore, the Office correctly (or rather, dutifully) used the company's PEC address, expressly indicated by the appellant as the sole reference for the communication related to the investigation following the renewal application. It is important to emphasize that during the investigative activities conducted in this case, the competent Office of Monopolies also used other communication channels (primarily non-certified email addresses) whenever the exchange of information did not pertain to personal data, while it exclusively used certified email when it had to report the existence of 'any tax violations and situations of arrears' attributable to the legal representative that could hinder the renewal of the concession as they are related to the work activity carried out. This was precisely to limit the circulation of the same data and protect - to the extent possible - the right to the confidentiality of the interested party."

With specific reference to the checks provided for by circular no. 28/2021, in the aforementioned note of March 13, 2023, the Customs and Monopolies Agency also states that at the time of the events subject to the complaint "an internal debate was underway triggered by user requests aimed at

obtaining more streamlined investigative procedures and, also, more responsive to the needs for protecting the confidentiality of financial data: from this debate, a partial revision of the existing practices emerged, as reflected in circular 28/2021. This led to circular no. 14/2023 - it should be noted: not in force at the time of the facts subject to this complaint - titled 'Sales network of monopoly goods and liquid inhalation products. Declaration pursuant to D.P.R. 445/2000 on the existence of tax liabilities - further indications' which has partially revised the assessments made in implementing Article 2, paragraph 4-ter of the ministerial decree of February 21, 2013, no. 38 through the adoption of circular no. 28/2021. Circular no. 14/2023 has effectively eliminated the checks on the figure of the legal representative, limiting them to entirely residual cases in which the competent Offices of Monopolies must still correspond directly with the legal representative, without involving third parties. This new approach can, in some way, be considered experimental and is still under examination to verify its actual impact on the control system entrusted to this Agency. It cannot be ruled out, therefore, that slightly different operational methods will be developed that allow for a better balance between the paramount needs for the protection of personal data and the indispensable control functions that characterize ADM as an integral part of the financial administration." In this regard, the aforementioned circular no. 14/2023, in the...

provide "guidelines in order to clarify, among other things, the contents and scope of the declarative obligation regarding tax liabilities," stipulates that, "in cases where the concession/authorization is granted to a legal entity, whether it is a partnership or a corporation, the declaration must be made by the company through its legal representative or by the proxy, where statutorily provided. It goes without saying that, in the context of inquiries at the Revenue Agency or other entities responsible for collection, also due to the non-negligible aspects related to the protection of the confidentiality of financial data, only the liabilities of the company must be requested and considered. Tax liabilities attributable to the legal representative as a natural person, for the entrepreneurial/private activities carried out by them, are not relevant. In any case, where the results of the inquiry should provide a doubtful data regarding the subjective referability of the debt, and nonetheless relevant for the purposes of the definition of the procedure, the offices will take care to correspond directly with the subject with respect to whom the inquiry was made, without involving third parties" (cf. letter A), no. 2)).

2.3. Outcome of the preliminary investigation and initiation of the sanctioning procedure

With a note dated June 28, 2024, the Office, based on the elements acquired, the checks carried out, and the facts emerged following the investigative activity, notified the Customs and Monopolies Agency, pursuant to Article 166, paragraph 5, of the Code, of the initiation of the procedure for the adoption of the measures referred to in Article 58, paragraph 2, of the Regulation, on the assumption that the processing of personal data of the complainant - carried out by the Customs and Monopolies Agency and consisting, in particular, of the acquisition and subsequent communication to XX of the complainant's data, to which, as a result, the internal subjects of XX responsible for activities related to the case in question had access - was carried out in a manner not compliant with the principles of "lawfulness, fairness, and transparency," "data minimization," "data protection by design," and "data protection by default," as well as in the absence of an appropriate legal basis, in violation of Articles 5, paragraph 1, letters a) and c), 6, and 25 of the Regulation and Article 2-ter of the Code.

With a note dated July 25, 2024, the Customs and Monopolies Agency - which, with a subsequent note dated September 20, 2024, communicated that it did not consider it necessary to be heard - submitted a defensive memorandum, pursuant to Article 166, paragraph 6, of the Code.

3. The legislation on the protection of personal data and the applicable sector regulations

In general, the data controller is required to comply with the principle of "lawfulness, fairness, and transparency" as per Article 5, paragraph 1, letter a), of the Regulation.

In particular, public entities may process personal data if the processing is necessary to comply with "a legal obligation to which the data controller is subject" or "for the performance of a task carried out in the public interest or in the exercise of public authority vested in the data controller" (Article 6, paragraph 1, letters c) and e), of the Regulation).

The legal basis for processing carried out in the public sector must in any case meet specific requirements, both in terms of the quality of the source, necessary contents, and appropriate and

specific measures to protect the rights and freedoms of the data subjects, as well as in terms of the proportionality of the regulatory intervention concerning the legitimate objective to be pursued (Article 6, paragraphs 2 and 3, letter b), of the Regulation), in addition to having to be "suitable" also in light of the structure of the sources of the "constitutional order" of the Member State (see Recital 41 of the Regulation).

In this context, national legislation has introduced more specific provisions to adapt the application of the rules of the Regulation, determining with greater precision the specific requirements for such processing and other measures aimed at ensuring its lawfulness and fairness (Article 6, paragraph 2, of the Regulation), and, in this context, has provided that the processing referred to in Article 6, paragraph 1, letters c) and e), of the Regulation, carried out pursuant to national regulatory provisions, is permitted only in the presence of an appropriate legal basis, consisting of a law, regulation, or general administrative act (Article 2-ter of the Code).

As far as relevant for the case at hand, it is particularly noted that the sector legislation:

- refers to the figure of the "concessionaire" where it regulates the methods of renewal of the concessions for the management of special sales (see Article 19, last paragraph, of Law December 22, 1957, no. 1293, concerning "Organization of distribution and sale services of monopoly goods");
- provides that "for the purpose of assignment, pursuant to Articles 19 and following of Law December 22, 1957, no. 1293, of the management of the established sales outlets, [...the] applicant must present a substitute declaration of notoriety drawn up pursuant to the decree of the President of the Republic December 28, 2000, no. 445, regarding the existence of any tax violations and situations of arrears towards the Treasury or towards the Collection Agent of an amount exceeding that provided for by Article 80, paragraph 4, of Legislative Decree April 18, 2016, no. 50, definitively established or resulting from judgments no longer appealable" (Article 2, paragraph 4-ter, of the Decree of the Ministry of Economy and Finance of February 21, 2013, no. 38 - "Regulation").

****Regulations on the Distribution and Sale of Tobacco Products****

- Among the reasons for exclusion from participation in concession procedures concerning debt situations - such as, for example, those of a fiscal nature - relevance is attributed solely to events concerning the "economic operator" (Articles 2, paragraph 1, letter p), and 80, paragraph 4, of Legislative Decree No. 50 of April 18, 2016), limiting the reasons for exclusion related to legal representatives to the definitive conviction suffered for one of the specific crimes listed therein (Article 80, paragraphs 1-3, of Legislative Decree No. 50 of April 18, 2016).

Finally, it is noted that the data controller is, in any case, required to comply with the principles of data protection and, in particular, among these, those of "data minimization" and "data protection by design" and "data protection by default" (Articles 5, paragraph 1, letter c), and 25 of the Regulation).

****4. Outcome of the Investigative Activity****

That said, and in light of what emerged from the preliminary investigation and the statements made by the data controller, it has been established that the Customs and Monopolies Agency has acquired and used, in the context of carrying out the controls provided for by Circular No. 28/2021 and in order to verify the recurrence of the requirements for the issuance to the company XX. of the renewal act of the concession referred to in Article 19 of Law No. 1293 of December 22, 1957, information concerning the debt position of Mr. XX, as a private citizen and legal representative of XX, subsequently communicating it to the certified email address of the company itself in the form attached to the resolution rejecting the request.

As far as the aforementioned Circular No. 28/2021 is concerned, it emerged that it provided for this Agency the acquisition and use of information concerning the debt positions of the legal representatives of the applicant companies, which entailed processing aimed at preventing evasive activities of the regulatory system applicable to concessionaires, thus allowing, in the first instance, the collection and processing of "all elements that, directly or indirectly, allow for the confirmation of the overall reliability of the concessionaire" (see note of March 13, 2024). Only subsequently, following the conduct of the deemed appropriate checks, the aforementioned circular introduced a measure that allowed for the decision not to consider for the purposes of evaluating the request "tax liabilities not related to the work activity carried out" (see Circular No. 28/2021) - a measure that, moreover, in this

case, was concretely disregarded and implemented only following the request for filing of the rejection by XX. with a note dated January 3, 2023.

In this way, the aforementioned Circular No. 28/2021 provided indications regarding the systematic, aprioristic, and generalized acquisition of even inadequate, relevant, and limited personal data to what is necessary concerning the pursued processing purpose, such data being referable to debt situations incurred by the legal representative of the concessionaire as a private citizen and a separate center of attribution of obligations. This was done without taking into account the risks to the rights and freedoms of the interested party, including in particular the harm to their reputation caused by the disclosure to the executives and personnel in charge of the company of such information, which, as they pertain to the personal sphere of the individual and are not connected to the corporate domain, are attributable to the private life of the interested party, whose protection is guaranteed by the regulatory framework even at the supranational level (see Article 8, paragraph 2, of the European Convention on Human Rights and Article 7 of the Charter of Fundamental Rights of the European Union and, for data protection aspects, Recital 1 of the Regulation).

While noting that, in any case, in the legal system, administrative circulars can contain specifications and detailed provisions, in terms of personal data processing, only within the limits and areas established by laws or regulations (Article 2-ter of the Code), it is highlighted that the primary and secondary sector regulatory framework provides that checks regarding debt situations are carried out exclusively concerning concessionary enterprises (see Article 19, last paragraph, of Law No. 1293 of December 22, 1957; Article 2, paragraph 4-ter, of the Decree of the Ministry of Economy and Finance of February 21, 2013, No. 38).

Conversely, it appears that, in this case, the Customs and Monopolies Agency has acquired and processed personal data related to debts incurred by the legal representative of XX, as a private citizen and a separate center of attribution of obligations, against a regulation that provides that such specific information should refer to the companies themselves (see Article 80 of Legislative Decree No. 50 of April 18, 2016). This was done in a manner not compliant with the principles of lawfulness, fairness, and transparency, "data minimization," data protection by design, and data protection by default, as well as in the absence of an adequate regulatory basis, in violation of Articles 5, paragraph 1, letters a) and c), 6, and 25 of the Regulation and Article 2-ter of the Code.

The above has also been acknowledged by the Customs and Monopolies Agency in the draft revision of the aforementioned Circular No. 28/2021, which then resulted in Circular No. 14/2023 of June 8, 2023, which "partially revised the assessments made in implementing Article 2, paragraph 4-ter of the ministerial decree of February 21, 2013, No. 38 through the adoption of Circular No. 28/2021." [...] in fact eliminates the controls on the role of the legal representative [...] and limits them to entirely residual hypotheses in which the competent Offices of the monopolies must nonetheless correspond directly with the legal representative, without involving third parties" (cf. note of March 13, 2024).

Nor does the circumstance that, finally, according to the Agency itself, "the practices adopted within the business reality in which the complainant works [...] have led to the communication [...] of the Agency, directed to the same complainant (and forwarded to the certified email address used by the complainant), being 'passed from hand to hand within XX' without any filter, allowing that 'first the employees of the Secretariat Office, then the members of the Board of Directors' could have full knowledge of it" (cf. note of July 25, 2024), matter, given that the violation of the regulations on personal data protection - which is attributable, in the terms indicated above, to the Agency - is independent of any processing that may have been carried out by the company XX through the persons appointed for that purpose.

5. Conclusions.

In light of the evaluations mentioned above, it is noted that the statements made by the data controller during the investigation - the truthfulness of which may be subject to accountability under Article 168 of the Code - although deserving of consideration, do not allow for overcoming the objections notified by the Office with the initiation of the procedure and are insufficient to allow for the archiving of the present procedure pursuant to Article 14, paragraph 1, of the Garante Regulation no. 1/2019, as none of the cases provided for by Article 11 referenced therein apply.

Therefore, the preliminary assessments of the Office are confirmed, and the illegality of the processing of personal data carried out by the Agency of Customs and Monopolies is noted on the assumption that the processing of the complainant's personal data - consisting, in particular, of the acquisition and subsequent communication to XX of the complainant's data - was carried out in a manner not compliant with the principles of lawfulness, fairness, and transparency, "data minimization," data protection by design and by default, as well as in the absence of an appropriate legal basis, in violation of Articles 5, paragraph 1, letters a) and c), 6, and 25 of the Regulation and Article 2-ter of the Code.

Considering that the violation of the aforementioned provisions occurred as a result of a single conduct, Article 83, paragraph 3, of the Regulation applies, according to which the total amount of the administrative pecuniary sanction does not exceed the amount specified for the most serious violation. Given that, in this case, the most serious violations are subject to the sanction provided for by Article 83, paragraph 5, of the Regulation, as also referenced by Article 166, paragraph 2, of the Code, the total amount of the sanction is to be quantified up to €20,000,000.

In this context, considering, in any case, that the conduct has exhausted its effects, also taking into account the adoption by the Agency of Customs and Monopolies of circular no. 14/2023 of June 8, 2023, which introduced corrections to circular no. 28/2021, the prerequisites for the adoption of further corrective measures referred to in Article 58, paragraph 2, of the Regulation do not exist.

6. Adoption of the injunction order for the application of the administrative pecuniary sanction and accessory sanctions (Articles 58, paragraph 2, letter i and 83 of the Regulation; Article 166, paragraph 7, of the Code).

The Garante, pursuant to Articles 58, paragraph 2, letter i) and 83 of the Regulation as well as Article 166 of the Code, has the power to "impose an administrative pecuniary sanction pursuant to Article 83, in addition to [other] corrective measures referred to in this paragraph, or in lieu of such measures, depending on the circumstances of each individual case" and, in this context, "the College [of the Garante] adopts the injunction order, which also provides for the application of the accessory administrative sanction of its publication, in whole or in part, on the Garante's website pursuant to Article 166, paragraph 7, of the Code" (Article 16, paragraph 1, of the Garante Regulation no. 1/2019).

In this regard, taking into account Article 83, paragraph 3, of the Regulation, in this case, the violation of the cited provisions is subject to the application of the administrative pecuniary sanction provided for by Article 83, paragraph 5, of the Regulation.

The aforementioned administrative pecuniary sanction imposed, depending on the circumstances of each individual case, must be determined in amount taking into due account the elements provided for by Article 83, paragraph 2, of the Regulation.

Taking into account overall: regarding the relevant profiles pursuant to Article 83, paragraph 2, letter a), of the Regulation, the circumstance that "even at the time of the events in question, an internal debate had already been initiated [...] triggered by requests from users aimed at obtaining more streamlined investigative procedures and, also, more responsive to the needs for the protection of the confidentiality of financial data: from this debate, a partial revision of the existing practices emerged, as reflected in circular 28/2021" (cf. note of July 25, 2024); the "limited time frame of applicability of the operational guidelines defined by circular no. 28 of July 22, 2021, a circular that effectively generated the contested violation" (cf. note of July 25, 2024); that, in any case, from a proactive and accountability perspective, "this new approach is, duty to ensure transparency and accountability in the processing of personal data, particularly in cases involving sensitive information.

****1. Introduction****

The matter is currently under examination to verify its concrete impact on the control system entrusted to this Agency and to develop operational methods that better balance the paramount needs for personal data protection with the indispensable control functions that characterize ADM as an integral part of the financial administration (see note of July 25, 2024).

****2. Relevant Aspects Pursuant to Article 83, Paragraph 2, Letter b) of the Regulation****

In this specific case, the notice of rejection of the renewal request (see act no. XX of XX) was adopted by the Agency and notified to the company without considering that Circular no. 28/2021, while also providing for the collection of data concerning legal representatives, established that for these individuals, “tax liabilities not related to the work performed should not be considered” (see Circular no. 28/2021, in the version applicable to the matter raised by the complainant). This is despite the Agency stating during the investigation that “all structures involved in defining and implementing the operational guidelines in question acted in perfect good faith” and that “the provisions of Circular 28/2021 in force at the time of the request were fully implemented” (see note of July 25, 2024).

****3. Relevant Aspects Pursuant to Article 83, Paragraph 2, Letter g) of the Regulation****

The processing in question involved personal data that, although not belonging to the special categories referred to in Article 9 of the Regulation or coinciding with those related to criminal convictions or offenses under Article 10 of the Regulation, nonetheless pertains to the private life of the data subject and presents a particular sensitivity and delicacy, concerning the debtor situation of the data subject.

****4. Assessment of the Violation****

It is believed that, in this case, the level of severity of the violation committed by the data controller is medium (see European Data Protection Board, “Guidelines 4/2022 on the calculation of administrative fines pursuant to the GDPR” of May 24, 2023, point 60).

****5. Mitigating Circumstances****

In light of the above, it is considered that, for the purpose of quantifying the fine, the following mitigating circumstances should be taken into account:

- In the context of the matter in question, in order to mitigate the harmful consequences of the violation, the data subject “was promptly heard by the competent Monopolies Office the day after the notice of rejection of the renewal request was submitted, formalized on December 19, 2022,” and “the assessment of the additional information acquired led the Monopolies Office to reassess the data in its possession and to archive the aforementioned notice of rejection with an act dated February 15, 2023” (see note of July 25, 2024; see Article 83, paragraph 1, letters c) and k) of the Regulation).
- With a view to accountability, the Agency implemented, even before the initiation of the investigation by the Authority, technical and organizational measures aimed at mitigating the risk of similar violations occurring, given that “Circular 14/2023 has already standardized and disseminated the new model to be submitted in support of the renewal request for a concession for the public sale of monopoly goods, carried out through special resale, which has been promptly made available online on the official website of the Agency of Customs and Monopolies.” Furthermore, “currently, for the purpose of adopting a level of security appropriate to the risk for the rights and freedoms of individuals, as well as for the implementation of data protection by design and by default, the competent central structure [of the Agency of Customs and Monopolies] is working on drafting specific operational guidelines (and interpretative of the repeatedly mentioned Circular 14/2023) to reiterate that, under current law, declarations regarding tax liabilities concern exclusively the holder of the resale (in the case where it is registered to a natural person) or the company (in cases where it is the holder of a resale)” (see note of July 25, 2024; see Article 83, paragraph 2, letters d) and k) of the Regulation).
- The Agency of Customs and Monopolies has offered full cooperation with the Authority during the investigation (Article 83, paragraph 2, letter f) of the Regulation).

****6. Aggravating Circumstances****

Additionally, as an aggravating circumstance, there is a previous relevant violation committed by the Agency of Customs and Monopolies (see provision of March 7, 2019, no. 56, web doc no. 9123989; Article 83, paragraph 2, letter e) of the Regulation).

****7. Conclusion****

In light of the aforementioned elements, assessed in their entirety, it is deemed appropriate to determine the amount of the administrative fine at €40,000.00 (forty thousand/00) for the violation of Articles 5, paragraph 1, letters a) and c), 6, and 25 of the Regulation and Article 2-ter of the Code, as an administrative pecuniary sanction deemed, pursuant to Article 83, paragraph 1, of the Regulation, effective, proportionate, and dissuasive.

In this context, it is also considered that, pursuant to Article 166, paragraph 7, of the Code and Article 16, paragraph 1, of the Regulation of the Guarantor no. 1/2019, the publication of this section containing the injunction order on the Guarantor's website should proceed.

This is in consideration of the fact that the processing involved, in this case, personal data characterized by particular sensitivity and delicacy, such as those related to the debtor conditions of the complainant, as well as due to the...

general scope assumed by the processing during the period in which the Agency, in carrying out the controls for which it is responsible, applied the aforementioned circular no. 28/2021 prior to the adoption of circular no. 14/2023 of June 8, 2023. It is finally noted that the conditions referred to in Article 17 of Regulation no. 1/2019 are met.

ALL OF THE ABOVE CONSIDERED, THE GUARANTOR

pursuant to Articles 57, paragraph 1, letter f) and 83 of the Regulation, finds the unlawfulness of the processing carried out by the Customs and Monopolies Agency for violation of Articles 5, paragraph 1, letters a) and c), 6 and 25 of the Regulation and Article 2-ter of the Code, as stated in the reasoning;

ORDERS

the Customs and Monopolies Agency, represented by its legal representative pro tempore, with registered office at Piazza Mastai 12 - 00143 Rome (RM), Tax Code 97210890584, to pay the sum of €40,000.00 (forty thousand/00) as an administrative pecuniary sanction for the violations indicated in the reasoning;

COMMANDS

the aforementioned Agency, in case of failure to resolve the dispute pursuant to Article 166, paragraph 8, of the Code, to pay the sum of €40,000.00 (forty thousand/00) according to the methods indicated in the annex, within 30 days from the notification of this provision, under penalty of the adoption of subsequent enforcement acts pursuant to Article 27 of Law no. 689/1981. It is represented that, pursuant to Article 166, paragraph 8, of the Code, the offender retains the option to resolve the dispute by paying - always according to the methods indicated in the annex - an amount equal to half of the imposed sanction within the term referred to in Article 10, paragraph 3, of Legislative Decree no. 150 of September 1, 2011, provided for the submission of the appeal as indicated below;

DISPOSES

a) pursuant to Article 166, paragraph 7, of the Code and Article 16, paragraph 1, of the Guarantor's Regulation no. 1/2019, the publication of the injunction order on the Guarantor's website;

b) pursuant to Article 154-bis, paragraph 3 of the Code and Article 37 of the Guarantor's Regulation no. 1/2019, the publication of this provision on the Authority's website;

c) pursuant to Article 17 of the Guarantor's Regulation no. 1/2019, the annotation of the violations and the measures adopted in accordance with Article 58, paragraph 2 of the Regulation, in the internal register of the Authority provided for by Article 57, paragraph 1, letter u), of the Regulation.

Pursuant to Articles 78 of the Regulation, 152 of the Code, and 10 of Legislative Decree no. 150/2011, it is possible to appeal against this provision before the ordinary judicial authority, under penalty of inadmissibility, within thirty days from the date of communication of the provision itself or within sixty days if the appellant resides abroad.

Rome, December 12, 2024

THE PRESIDENT

Stanzione

THE REPORTER

Ghiglia

THE DEPUTY SECRETARY GENERAL

Filippi